

THE STRIKE OF THE KOREAN CARGO WORKERS FEDERATION OF 2003

by

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THE STRIKE OF THE KOREAN CARGO WORKERS FEDERATION OF 2003

EXECUTIVE SUMMARY

1. Background

On October 27 of 2002, in the midst of the increasing flexibility of the labor market in Korea and toughening international business competition, independent cargo truckers organized the 'Korean Cargo Workers Federation', de facto national scale labor union. The truckers alleged that they were de facto non-regular workers undermining economic hardship under poor welfare protection due to government's lack of long term vision in logistics system and labor policy.

As the pro-labor new administration was established in February of 2003, the Federation strongly encouraged the government to help them improve their economic situation, warning the government of a logistics crisis. Initially, the truckers' allegations were very understandable and persuasive. The logistics system was poorly developed and largely depended on cargo trucks. The truckers' economic and social status was being aggravated even though they were working hard with high risk to injury as like other non-regular workers.

On the other hand, Korea's economy could not be viable without low logistics cost, flexible labor market and stable industrial relation. So, the government had tight policy constraints and little incentives to give the Federation without trading off with the economic efficiency.

In this circumstance, deliberately coordinated measures and a definitive warning by the government against a collective walkout was needed. But the bureaucrats and individual agencies failed to handle the Federation's request properly.

Eventually, the strikes broke out on May of 2003 and again on August. Newly inaugurated President, Roh Moo-hyun as authoritative decision unit, should have given political directions to the agencies involved. And Prime Minister Goh Kun should have handled overall situations in administrative detail coordinating the national agencies such as the Ministry of Construction & Transportation, Ministry of Labor and the local governments where the major ports located.

2. What Happened

This logistics crisis can be restructured into roughly 4 phases as each of occasions for decision. As a matter of fact, the government faced different strategic situations in each phase toward the Federation.

In the first phase, the Federation tried to communicate the government through all available political and administrative channels. But the bureaucrats took no measures and failed to communicate properly in the government.

In the second phase, on May 2 of 2003, cargo truckers of Pohang boycotted work, which was followed by the nationwide strikes of cargo truckers in major ports. The government should have responded to the strikes in a coordinated manner under clear directions. After two weeks of boycotting, the stakeholders reached a mutual agreement on May 15. The government committed to give significant economic incentives.

In the third phase, the Federation threatened the government to start a second strike during the negotiations for transport fees increase. The government should have decided either giving in to the Federation or dealing with another strike. The government thought the truckers' requests were not reasonable anymore.

In the fourth phase, on August 21, the Federation initiated another walkout. However, the government refused to compromise this time. Some leaders were arrested. The national sentiment went against the Federation. A big fraction of the truckers returned to work threatened by the government's hard position. Thus, on September 5, the Federation declared an unconditional return to work.

3. Lessons Learned

The lessons learned from the mismanagement of the crisis were very extensive and each stakeholder provided diversified perspectives.

The government reviewed the crisis management system. So, it is reconsidering information management and coordination procedure. The government is also trying to get a legal authority to compel the truckers' return to work in case another strike threatens national security and welfare.

The Federation pointed out the need of negotiation and policy coordination channels. So, the government made up a policy coordination channel in cooperation with the Federation and built up cargo-type specific negotiation mechanisms among the stakeholders of cargo transport business.

The Cargo Companies and Cargo Owners emphasized the importance of a neutral and principle-based leadership. So, the government is trying to facilitate formal talks, but punish unlawful and unreasonable strikes. But the labor groups are opposing the new pattern of Roh's leadership.

The logistics experts urged the government to improve logistics system. So, they recommend that the government facilitate the Logistics Information Networks, guide

the Cargo Companies to be efficient larger-scale firms and increase investment in alternative transportation infrastructure, and logistics facilities.

Conclusively, recognizing what the stakeholders and experts learned from the logistics crisis, the government had to reconsider traditional practices in managing crises caused by socio-economic conflict and had to guide current conflict to be peaceful by sustaining balanced labor policy and improving logistics industry.

SETTING THE STAGE

1. Introduction

South Korean President Roh Moo-hyun who has been supported by the young, lower income class, started his term in February of 2003. He was facing consecutive labor movements from the start of his inauguration.

The most challenging one was the two times of strikes by the independent cargo workers. Using the slogan of 'STOP THE LOGISTICS, CHANGE THE WORLD', the 'Korean Cargo Workers Federaton' wreaked a logistical nightmare for many of the nation's firms, prompting calls for the government to revamp the nation's transportation systems.

Since more than 72.8% (2000) of the Korean economy depends on trade and the transportation to shipping yards for exportation also heavily depends on cargo truck, a logistics crisis, the first in its field, meant serious economic crisis.

Thus, the opposition party, major media, big trading firms and economic experts kept a close eye on how the new government dealt with this situation emphasizing the economic efficiency the national first priority over equity.

On the other hand, during the first boycott, it was found that the truckers' economic situation was worse than people originally thought. Furthermore, they are not under the protection of labor rights and social insurances legally required and enforced.

Moreover, the Roh administration had other labor related issues to work out with labor groups. The Five-day Workweek Policy, the National Pension Reform, the Introduction of Corporate Pension were some of those topics. The President, his aides, and cabinet members were faced with challenging tests without enough drills.

2. Stakeholders and Crisis Manager

The stakeholders in this crisis were, largely speaking, the Korea Cargo Workers Federation, Cargo Companies, Cargo Owners and the Government.

The Korean Cargo Workers Federation (KCWF or the Federation), with more than 24,000 members, was headed by Kim Jong-in. It has been under the Transportation Union, a branch of a nationwide umbrella labor union, the Korean Confederation of Trade Union (KCTU). And it is, in turn, comprised of 11 regional branches.

The types of cargo they were dealing with can be categorized as General Freight, Container and Bulk-Cement Trailer (BCT). According to the court and administrative interpretation, the members of the Federation were self-employed truckers whose income was depending on how much they carry the cargo with their own trucks. But

some progressive lawyers asserted there is a room for considering them as labors (Kwen, Doo-seup. March 2003).

Cargo Companies are individuals or firms who have business authorization in cargo transportation by 'the Cargo Truck Transportation Business Act'. Though the truckers were not the employees of the Cargo Companies, the Companies had actual control on them not only connecting the truckers with Cargo Owners but also formally owning and managing the trucks trusted to them by truckers. 90% of cargo trucks amounting to 130,000 truckers were actually owned by cargo truckers (Jung, Ho-hee. March 2003). Consequently, the Cargo Companies had direct interest in how the government revises the regulation on the business.

Cargo Owners are mostly manufacturers who export their goods or distribute them domestically. Cargo Owners normally contract the transportation of their goods to Cargo Companies since outsourcing costs less. So, Cargo Owners were the primary parties in the negotiation of transport fees.

The President was main crisis manager who determined key strategies. And the Cabinet was responsible for deciding detailed counter measures responding the crisis in this case. Interagency coordination to negotiation, mediation and situation control was needed. The agencies sharing responsibility and authority for the issues covered Ministry of Labor (MOLAB), Ministry of Construction and Transportation (MOCT), Ministry of Commerce, Industry and Energy (MOCIE), Ministry of Finance & Economy (MOFE), Ministry of Maritime Affairs & Fishery (MOMAF), Ministry of Government Administration & Home Affairs (MOGAHA), Ministry of National Defense (MOND), Ministry of Justice (MOJ) and so on.

3. Temporal Boundaries

It is not easy to determine what temporal point should be the starting point of the research. The first boycott started May 2 of 2003 and ended May 15. The second boycott started August 21 and ended September 5. But the activities of the Federation started a year before the first strike.

The sign of brewing crisis can be seen from the establishment of the Federation on October 27 of 2002. And the first encounter at which the President and his aides had a chance to take the problem serious was January of 2003, one month prior to the inauguration of the President. In this research, I have chosen to see the establishment of the Federation as the bud of the crisis. This will help the readers understand the full context and evaluate the response of government.

The last temporal point of the crisis will be the end point of second boycott. However, this research will also cover, in more general terms, the outcomes of further negotiations, issues emerging in the process of implementation, and other aftermath of this crisis.

4. Situation the Government Faced

This crisis was a big challenge to the newly started Roh administration. The opposition party and conservative media were keeping a close eye on the economic and labor policy of new administration. And many economic experts, employers and foreign investors kept saying that hard line labor union would ruin the Korean economy.

In this situation, a boycott initiated by the Federation could be a decisive blow to the economy due to its importance for trade and the national credit. Coincidentally, it

overshadowed President Roh's efforts to woo foreign investors during his first U.S. visit planned from May 11 to 17. Some critics already started to blame the Roh administration for snow-balling the problem by failing to prevent the truckers' collective actions in a quick and effective manner.

The situation was urgent. The logistics experts said that if logistics stop temporary, it will bring just some delays in shipping and other subsequent loss. But they argued that if it would continue longer, the economic loss might increase geometrically. According to the Ministry of Commerce, Industry and Energy, the economic loss from delays in shipping for export and import as the result from the two strikes was calculated up to more than 1 billion U.S dollars and subsequently, it impaired the domestic industrial production (MOCIE. September 1, 2003).

Aside from the importance and the urgency of the crisis, the government faced even higher uncertainty in dealing with the crisis. First, there was no unified formal channel of negotiation for the stakeholders. Second, it seemed that the Federation was not fully controllable by the leaders. Thirdly, it was also uncertain whether the Emergency Transportation Plan, which had never been tested, would work or not.

Lastly, the government could not sure whether the collective strike was unlawful. Under the current labor laws, the political strikes and violation of due process for collective actions were prohibited. Obviously, the strikes of the Federation were political strikes of which issues were beyond the Cargo Companies' discretion. The strikes, however, did not violate any labor laws since the Federation was not legal labor union. Thus, the government could prosecute the truckers just for collective or individual obstructive actions by clear evidence.

5. Political Economic Context

To understand the political economic context of this case, it is crucial to review the fundamental reason why the Federation could not help but wage a strike and what the political economic constraints of Roh administration were in the current economic situation of Korea.

In the background of this strike of self-employed workers, we can see skyrocketing levels of competition in and out of the country and a deepening globalization after the Financial Crisis of 1997 in Korea.

High logistics cost, consisting 12.8% of GDP in 2000, resulted from high diesel price, traffic congestion and high land price in Korea. Thus, the Federation argued that conventional measures for keeping logistics costs low heavily depended on a poorly developed logistics structure making cargo truckers carry the burden. During last 10 years, the transportation fees had never been increased.

After the Financial Crisis of 1997, the Korean labor market has become extraordinary flexible. As a consequence, the labor groups argues that non-regular workers in form of either temporary or part-time or delegated employment now consist 57% of total employment (Lee, Jung-il. March 2003).

They are, allegedly, under poor protection of labor rights, discriminated in wages, and out of social insurances. Most of the truckers also were unwillingly transferred from regular employees of cargo companies by the Cargo Companies. The companies laid them off and suggested they buy and trust trucks to the companies if they would want to keep working. Moreover, those laid-off from other sectors was kept entering this market since they failed to find other job.

Consequently, the cargo delivery market had been saturated. The number of cargo trucks rose 54.6% to 176,000 in 2001 over 1997, while the volume of cargo increased only 7.3% during the same period (Jung, Ho-hee. March 2003).

This market imbalance made the economic status of the truckers worse. But keeping the harsh policy was the only method to keep competitive in the transportation market and lowering logistics cost was indispensable to Korean economy at any rate.

Other industrial sectors also were in a similar situation. The government and foreign investors strongly recommended Korean companies to choose between merging or employment adjustment. This economic policy caused industrial conflict and that was aggravated and burst open right after the Roh administration was launched on February 2003.

President Roh, formerly from New Millennium Democratic Party, has been supported by the residents of south-west region, college students, young white collar and blue collar labors who was opposing to the government's liberal economic and labor policy in his presidential campaign, December 2002.

Thus, he proactively mediated major industrial relations and raised labor union's hands after inauguration. Some good examples were the conflict of the Doosan Heavy industry (January to March), the strike of the National Rail-road Authority Union against privatization (April). But critics said that the government's attitude, skewed in favor of labor, would greatly harm efforts for industrial peace, therefore, the government agencies should remain neutral and demand both sides keep law and order.

After successive biased mediations, the mainstream public opinion tended to criticize the government for the progressing economic decline. So the Roh administration's position and how to deal with cargo transportation crisis could be considered as a good barometer reflecting the future labor policy of the administration.

6. Nature of the Situation

The Federation approached the government with 12 pending issues ((Jung, Ho-hee. March 2003). But those can be re-categorized into 3 according to the nature of government roles.

The first category was merely asking the government to adjust the budget and expand social welfare benefits. The Federation requested the government should; provide economic incentives to lower direct costs through tax breaks in diesel consumption and discounted expressway-toll-fee; extend the protection coverage of labor rights and worker compensation insurances to the truckers as a special labor class; invest infrastructure to improve working conditions involving construction of service area on expressways for the truckers.

However, the government could not help considering the equal treatment between the truckers and other like-industry such as bus and taxi industry. And there was still no agreement reached in the Tripartite Commission of Labors-Employers-Government on what kinds of protection should be extended to non-regular workers. The incentives and infrastructures should also be provided by several agencies.

The second category demanded the government to mediate between the Federation and Cargo Owners in the negotiation for adjusting transport fees. However, the problems lied in the fact that there is no unified channel of negotiation

comprised of one employer and one union. This is very natural because the Federation is not a 'legal labor union' defined by the 'Labor Law' (Lee, Hye-soo. May 2003).

Moreover, by its very nature, applying transportation rates applied uniformly is very difficult. The difficulty primarily results from the fact that the rates are better determined by market forces than one uniformly regulated price. The rates can hardly be regulated because there are so many potential parties to a transportation contract and so many types of cargo to be moved.

Another problem is that groups representing the Cargo Owners, such as the Korea International Trade Association and Korea Cement Industry Association, have no legal authority to force their members to pay the rates they have agreed to. There is no wonder that negotiations have been going on and off since the government started mediating them since the truckers ended their first strike in May.

The third category was concerning institutional reform of government regulation giving the truckers a relative disadvantage vis-à-vis to the Cargo Companies and Broker Companies. By 'the Cargo Truck Transportation Business Act', an individual must own five or more five-ton trucks to engage in the cargo transportation business.

Therefore, truckers-most possess one truck each-register their vehicles in the name of a corporation, and remain self-employed while paying the company a fee, and a sum of money equivalent to tax, insurance and other expenses.

The situation of the transport business was all the more complicated, as it needed the service of multiple intermediary brokers connecting them with the Cargo Owners. The brokering charges, together with fierce competition among the truckers, tended to make them feel underpaid for their hard work.

Institutional reform, however, tended to cater to the demands of other stakeholders, the Cargo Companies and the Broker Companies in this case.

In addition to the negotiations, it was a quite complicated situation for the government to try and control 'the Logistics Disaster' and minimize the economic loss.

First, the fact that the Federation is not a 'legal labor union' makes it hard for the government to utilize police power or prosecution authority on the truckers because, strictly speaking, the strike does not constitute any crime violating any due procedure requirement for legal strikes.

On the other hand, since the Federation was loosely organized between regional branches, it had no experience of a unified labor movement guided by a leader. Consequently, the leaders of the Federation also had limitedness controlling the Federation.

Second, the government needed the coordinated negotiation package and implementation of the emergency transportation plan. MOCT had a key responsibility. Several other ministries, local governments and government-affiliated corporations were also expected to take important roles in the negotiation and implementing emergency plans.

Prime Minister Go Kun, a life-long career bureaucrat, whose political attitude was more conservative than the President and the aides, was supposed to coordinate inter-agencies activities.

7. Chronology

A. Pre-Strike

▼ June 6, 2002

A number of truckers had joined the Transportation Union having several legal unions as members, under the KCTU, as quasi-member and launched a Task Force for establishing a federation of independent cargo truckers.

▼ October 27

Independent cargo truckers officially launched the Federation at the Busan University and started to organize regional branches.

▼ January 24, 2003

The Federation submitted policy proposal of 10 issues to the Committee of Presidential Undertaking. Here, they warned of a nationwide strike unless the new administration would take appropriate measures toward their request.

▼ February 25

The truckers of Chungchung branch, transporting for the chemical companies in the Daesan Chemical Industrial Complex, raised a strike. 3 days later, they took concessions from the Hyundai Chemistry, the Samsung Chemistry and the LG Chemistry on 13% transport fee increase and on other issues for improving the working conditions.

However, the media, the governmental agencies, and the cargo companies paid little attention to this incident.

▼March 24

The KCTU invited the government and the Cargo Companies to a policy discussion meeting with the agenda of 'Logistics Cost Reduction and Improvement of Cargo Workers' Status'. But that was held at the 'Constitution Memorial Building of National Assembly' without any delegation from the other stakeholders.

▼March 31

About 17,000 of the members gathered in Gwacheon where the government complex is situated. And they submitted policy proposal of 12 issues to the MOLAB.

▼April 17 to 21

The President ordered the ministers to talk directly with the Federation. The next day, Prime Minister convened the Ministerial Meeting of Labor Issue and decided to talk with the Federation. On April 21, the parties agreed on a six point agenda for negotiation which is related to government policy and economic incentive.

▼April 27 to 30

Park Sang-jun, 34-year-old union member of the Pohang branch, deliberately poisoned himself to put an end to his suffering from low incomes and rising debts. His suicide became a symbol of truckers' bad economic situation.

Three days later, 7,000 members of the Federation rallied in front of the government complex in Gwacheon, demanding that the multi-subcontracting practice be abolished and they be granted full labor rights. AND they could meet with the Minister of MOCT.

B. First-Strike

▼May 2 to 5

The steel truckers of Pohang, where the POSCO, the biggest steel mill in Korea, is in business, started to walkout without any prior notice.

On May 5, the branch of Kwangyang, where second steel mill of the POSCO is in operation, also entered walkout.

▼May 6 to 7

President Roh ordered the Cabinet to work on actively solving the problem. But things got worse, and the Chungchong branch started to strike.

The next day, truck drivers in the Busan port handling up to 74% of the nation's cargo transport declared walkout from May 8. The government held a Public Safety Meeting.

Meanwhile, 44-year-old Choi Bok-nam, a member of the Busan branch died in a car accident while encouraging the cargo workers to join the strike.

▼May 8 to 9

The Busan branch waged a preliminary strike with 800 members. The Kyonggi-Inchon branch began to strike. But the truck drivers and the Cargo Companies in Pohang and Gwangyang reached a tentative agreement on the key bones of contention ending a weeklong standoff.

The government suggested a unified negotiation channel and uniform agreement applied nation-wide.

▼May 10

The leaders of the Federation decided to suspend the strike by May 18 waiting for the outcome of negotiations with the government. But the majority of the members doubted the effectiveness of negotiations without further strikes.

▼May 11

The first central negotiation started between representatives of the Cargo Owners, the Cargo Companies, the government, and the Federation.

Meanwhile, President Roh instructed the Cabinet to take stern measures against any illegal moves by truckers in Busan. He ordered the Cabinet to work out contingency plans, analyze the motivations behind the strike and come up with methods for conciliatory improvements just hours before his first visit to United States.

▼May 12

The Busan branch reversed the decision of central leaders through a vote in the face of strong objections from rank-and-file members insisting on a hard stance.

The Prime Minister and five economic interest groups involving the Korea Employers Federation released a Message to the Public mentioning current Korean economic decline and the importance of the law and principles.

▼May 13

The government deployed the police in the major piers of the Port of Busan. The Container drivers working for the Inland Container Depot in Uiwang, in the

outskirts of Seoul, which handles over half of the nation's exports and imports, went on a sympathy strike.

▼May 14

The government re-confirmed sticking to the 'Law and Principle' at the Cabinet Meeting and got arrest warrants for the leaders of the Federation.

▼May 15

The negotiation was resumed and continued through the night and a mutual agreement ended the first strike which would otherwise have brought the nation's cargo transportation to a complete standstill. The government made concessions to the Federation on 11 pending issues, paving the way for fine-tuning in forthcoming talks.

The Federation, however, showed the intention to go on strike again in case the transportation fees negotiation by cargo types and institutional improvement would not be implemented properly.

The MOCIE announced that the economic loss from delay in shipping for export and import that was a result from the strike was calculated to be \$540 million.

C. Intermission

▼May 27

The government established 'the Task Force for Logistics Improvement' which would come up with the master-plan on comprehensive long-term logistics improvements.

▼June 9

The government and the Federation co-established 'the Committee of Institutional Improvement on Cargo Transportation' which would specify the agreement, draft a revision bill to issue a business license to an individual owning just a five-ton or heavier-duty truck and monitor the implementation process.

▼June 28 to July4

In the midst of the nation-wide summer labor movement, the National Railroad Authority Union waged an unlawful strike opposing the government's policy on transferring the Authority to a government-affiliated company.

The allegedly pro-labor Roh administration pushed an unprecedented hard line. And the strike ended in a short time. After the incident, the Authority took disciplinary action against more than 8,000 employees who participated in the strike. The KCTU and the Federation warned the government there might be second strike.

▼July 21

The leaders asked the Federation for a vote on whether or not to stage a second general strike. They complained that the government acted negatively in revising institutions; Police continued to arrest members; the negotiation on transportation was at a standoff due to the Cargo Owners' unwillingness to negotiate.

On the other hand, the major media were criticizing the government's poor handling of the first strike and extraordinary concessions to the truckers sacrificing the 'Law & Principle' and additional loss of tax revenue.

▼ July 24

40-year-old Go Sung-hak in the Pohang branch strangled himself to death. Allegedly, right after first strike, he was suffered from the cargo company he was working for.

His colleagues argued that the company strongly urged Go to pay back a high amount of debt which Go had borrowed from the company to purchase the truck for the use of the company.

▼ July 31 to August 4

The Federation finished voting with 90.3% of approval to strike. On August 4, the Federation declared a General Strike from August 20. The government declared it would exercise police power in advance in case of general strike.

▼ August 6

Prime Minister presided over a Policy Coordination Meeting on National Issues and the government released a news brief on the government's stern position and the Emergency Transportation Plan.

▼ August 14 to 15

The Prime Minister held an expert workshop on institutional improvement of cargo transportation. The next day, the government established an Emergency Center.

▼ August 19 to 20

The negotiations between the Federation and the Cargo Owners failed to reach an agreement. The Federation, however, delayed general strike scheduled on August 20.

However, the next day, the talks between the Federation and the representatives of the bulk cement transportation firms broke down again.

D. Second-Strike

▼ August 21 to 25

The Federation staged a walkout again. The BCT truckers which had biggest problems in the negotiation for transportation fees, in cooperation with Container truckers, initiated the strike.

On August 23, the Cargo Companies and the Cargo Owners asked the Federation to suspend the strike otherwise they would cancel the contract and file litigations to get compensated. On August 25, the negotiation failed again.

▼ August 27

The police got a search warrant on the KCTU head-quarter in SEOUL and filed a court warrant of arrest for the 16 prime movers in the walkout. The government declared stern actions against striking truckers.

▼ September 1 to 2

Some striking truckers used their trucks to block main roads to the container shipping site at the Port of Busan. The police apprehended 188 striking truckers for driving slowly to clog traffic at major bridge and expressways.

Meanwhile, a large portion of truckers already returned to work under the threat of legal action from the government. The government announced that the truckers in the walkout were trying to obstruct and threaten other truckers who already

returned to work, but port operations reached 90% of normal levels due to returned workers.

▼September 3 to 4

The container truckers independently declared the end of the strike. The next day, the Federation held a general meeting for the regional branches to decide whether to confirm the strike or not.

▼September 5

The Federation declared it decided to end the 16-day walkout and return to work amid growing public demands to normalize the nation's transport network ahead of the Chosuk, Korean Thanksgiving Day. It stressed, however, that it would continue negotiations with the Cargo Owners over transport fees at a later date.

The MOCIE announced that the economic loss from delay in shipping for export and import resulted from second strike was calculated up to \$600 million and it created a large disruption for domestic production of cement, steel, tire, textile, and electronics.

8. Occasions for Decision

This logistics crisis can be restructured into 4 phases. We can see each of the phases as occasions for decision. As a matter of fact, the government faced different strategic situations in each phase toward the Federation.

A. Pre-Strike

In the first phase, the Federation tried to communicate the government through all available political and administrative channels after launching the Federation. The government should have known what the truckers were asking for, what the government could do for them and how the government would make the other stakeholders involved in dealing with the requests of the Federation.

Initially, the government could not realize the potential impact of the establishment of the Federation and their activities. None of the agencies could solve all the problems. The bureaucrats, during the transition period of political power, might ask themselves, "Should the agency change current policies? Should this agency take central responsibility? What will be the new policy of new administration? Is it likely that the truckers wage a strike?" No media paid much attention to the Federation and their voice. The bureaucrats decided, under the circumstances, that each agency would listen to the workers, but would take no substantial action.

By the time the President and his aides realized the seriousness of the situation and directed the Cabinet to hear the truckers' voice, the Federation had already fully prepared to strike.

B. First-Strike

In the second phase, the truckers started to raise strikes from the Pohang branch under the leaders' loose control. The government should have responded to the strikes in a coordinated manner under clear directions.

Since this issue involved various agencies, the Cabinet took responsibility to solve the problems. However, the Authoritative Decision Unit was the President who was expected to give the Cabinet the directions. And he played a role of a 'Predominant Leader' ever since a month before the first strike broke out.

Once the strike occurred, the President and the Cabinet should have been able to deal with questions like, "Is the strike unlawful?" And if not, "What can the government do?" Also they should have looked at "What the truckers are asking for exactly? What is the response of the Media and Public? How should they set the contingency transportation plan?" Most importantly "What should be the position of the government concerning each agenda?"

The Public displayed a lot of sympathy for the truckers as well as strong opposition to the strike. There was little room to consider the strike unlawful. The alternative transportation method was not fully prepared. There was no clear negotiation channel.

Consequently, the government was poorly prepared to the crisis, which had been predictable. It surrendered to the Federation making every commitment the government could do.

C. Intermission

In the third phase, the Federation threatened the government during the negotiations on built-in agenda saying it would raise second strike. The government should have decided either giving in to the Federation or dealing with another strike.

After the first strike, the government was implementing its commitments. But it should have punished the criminals who violated the laws. The transport fees

negotiation showed little progress due to the complexity of the market, as I mentioned earlier. As the unlawful strikes broke out throughout the country, the Roh administration ended the Honeymoon with the Labor Unions.

Finally, the Federation declared it would go on a second strike. The government sought for a way to avoid another crisis. But all the government did was reinforce the alternative transportation plan with blackmailing the Federation saying that the government would punish unjustifiable strikes and every unlawful activity in the public space. The formerly pro-labor President, the Prime Minister and Cabinet Members shared the recognition that the government could not stop the strike through the talks.

D. Second-Strike

In the fourth phase, the second strike was developed. Unlike the first strike, the government should have dealt with this ‘unreasonable and unthinkable’ challenge.

As expected when the second strike broke out, the government should have gotten the information to answer questions like, “What the people in general think about the second strike? How many truckers are participating in the second strike? Is it likely that the negotiation for transport fees can be ended in a short time?”

This time, the Media and Public showed little sympathy to the truckers. Instead, they supported the new labor policy of the Roh Administration. A lot of members of the Federation did not respond to the call of the leaders.

Instead, the number of truckers returning to work was rapidly increased as time went on. Moreover, Cargo Owners and Cargo Companies warned truckers they would sue for compensation of economic loss from breach of contract. That showed

little chance of negotiation ending in a timely manner. Finally, the government took stern measures all the way, and it paid off. The Federation gave in without any achievement.

THEMATIC ANALYSIS

1. Definition of the Situation and Framing

Before the first strike, nobody exactly identified what kinds of activities was made by the Federation and what would be the implications of those. As the interests and the positions of each stakeholder were manifested through the first strike, all the stakeholders perceived that the problem was more complicated to solve out than they thought.

Ever since the Federation was organized in 2002, it warned the government and other stakeholders of strikes. However, most of appealing documents from the Federation to the bureaucrats were not delivered up to the political appointees involving ministers and even vice ministers of MOCT, MOCIE and MOLAB.

Choi Jongchan, Minister of MOCT, witnessed the Assembly that he did not contact with any document from the Federation until late March of 2003 (National Assembly. May 2003).

The bureaucrats identified and were informed of what the interest and the position of the Federation were. They, however, did not see the problem serious because each of them saw the problem in limited perspective.

As I said earlier, the government should have approached the conflict understanding its complicated political economic context. But the bureaucrats of the agencies understood the problem only concerning one reason among the policies on the truckers' status, the entrance barrier to transport business and gasoline tax policy. This narrow framing of the problem and the reactive mode of bureaucracy caused the failure to prevent the strikes.

Who considered the problem as a significant political challenge were the President and his aides. Just a month before the first strike broke out, Moon Jae-in, the Senior Presidential Secretary for Civil Affairs in charge of advising the President concerning social conflicts, reported the President the possibility of a serious social conflict and its implication. On April 17, the President ordered the Cabinet to talk with the Federation and seek a solution.

Once the pro-labor President and the senior secretary Moon took initiative in the problem, the problem was easily framed as a labor issue and the task of the Cabinet was to come up with a pro-labor solution. The next day, Prime Minister convened the Ministerial Meeting of Labor Issue and decided to talk with the Federation. On April 21, the parties agreed on six point agendas for negotiation which were related to government policies and economic incentives (KCWF. April 21).

The Prime Minister and the ministers thought that it was not too late to start to talk when the government and the Federation reached an agreement on which agendas should be negotiated. However, the government made a mistake again in identifying the organizational characteristics.

The Federation had little contextual analogy with other labor unions regarding decision making process, the degree of centralization, the degree of membership

coherence, and the degree of the organizational loyalty. Consequently, the first strike broke out partly because the leaders of the Federation failed to control the branches. The Pohang branch started to walkout independently and the strikes spread out.

In the second strike, the government used the lesson from the first strike that the Federation was consisted of semi-independent branches and the relationship among the members was not like that of regular labor union members.

Consequently, the government took a 'carrot and lash' strategy. The government gave more incentives to the truckers who returned to work and arrested the truckers who were hindering the others' business in unlawful manner.

2. Preparedness for Dealing with the Crisis

As I said earlier, the government should have fulfilled, largely speaking, three tasks in the truckers' strikes. One was to negotiate with the Federation on the economic incentives, the labor rights, and the structural reform of the transport business. Another was to mediate the negotiation between the Federation and the Cargo Owners on transport fees. The other was to control physical situations and implementing emergency plans.

As regards the negotiation, there was no formal or informal negotiation channel and procedure currently in operation. There was also no substantial interagency talk for making one harmonized government negotiation package. After the first strike broke out, the Prime Minister held interagency meetings and proposed uniform negotiation channel to the Federation.

Likewise, the mediation procedure was not existed before the strike. Furthermore, even after the strike broke out, it was not easy to form a mediation table because all

the three stakeholders were lack of internal cohesiveness and uniformity. Thus, during the intermission period and the second strike, the mediation tables were set-up into three sectors, that is, the BCT sector, the container sector and the general freight sector.

Nevertheless, the mediation in the container sector only worked. The BCT and general freight sector were too complicated to be mediated in the process (Lee, Jung-hee. May 2003).

Regarding the situation control, the standing operating procedures were not effective. The standard operation procedure for responding to de facto labor strikes depends on whether the strike at issue is lawful or not. If unlawful, the government can disseminate the mob or arrest the workers participating in the strike. If the strike is lawful, all the government could/should do is keeping an eye on how the situation develops.

However, in this case, most of truckers were home and the strike was not a labor strike which should be raised according to the due-process. The police just could arrest some leaders and the truckers who hindered traffic or other truckers' business.

As regards the contingency plan, it was lack of resources. According to the emergency transportation plan of the government, all available resources were 20 military trucks, 46 drivers who were not trained for cargo transportation and trains for temporary operation (MOCT. August 6). So, in the second strike, the government came up with an idea. It authorized temporal business permissions to the non-commercial trucks. However, all the measures were found to be inefficient. The transportation activities were not 'the rule of thumb'.

Therefore, the best measure the government could do was to eliminate fundamental reasons for the strikes. The second best was to expect the strikes and get an opportunity of prior talks to prevent the strikes.

The first strike was more or less unexpected since the leader group of the Pohang branch did not warn the government and the Cargo Companies of any strike. But, strictly speaking, it could be expected. The structural and institutional problem in the cargo transport business was one of go-to topics on the news focused on its lack of social justice.

In fact, the 'Cargo Truck Transportation Business Act' was also scheduled to allow truckers who have more than one 5-ton-truck or over to do business in their own name from 2006. This means the government was acknowledging there was equity problem in the business permission provision.

There were other signs of brewing strikes. The Federation repeatedly warned the government of the strikes though it did not notified the date. 3 days strike of Daesan Complex was the most evident example to a possible strike and victory of the truckers. The Daesan incident, however, got little attention from the government and the media (Im, im-bun. March 2003).

The second strike was decided through a voting of the members and the Federation informed the stakeholders and the public of what they were asking and on what exact date they would start the second strike.

The government officials said they could not understand why the Federation would raise a strike again. After the defeat of the second strike, the leaders also admitted that the second strike was unnecessary.

3. Decision Units

A. Nature of Authoritative Decision Units

No authoritative decision unit was emerged until the President ordered the Cabinet to respond the Federation's asking for the talks a month before the first strike. Ever since that time, the nature of Authoritative Decision Unit in this case was a predominant leader, the President Roh also as the chairman of the official Cabinet Meeting.

The Korean governing system is basically a 'Presidential System' mixed with some components of a 'Parliamentary System' such as the position of a 'Prime Minister' instead of a 'Vice President'. In relation with certain issues such as submitting a government-initiated legislation bill to the Assembly, the Cabinet Meeting makes decision by voting system of majority rule as a single decision-making group. But in this incidental case, the cabinet led by the Prime Minister was not a single decision making group but a mere assistant body or policy coordination meeting for the President.

As the first strike broke out, the President showed his opinion which became the key position of the government. Throughout the other decisions for occasion, this frame was kept in the government. The President directed the cabinet what strategies to be chosen. Then, The Prime Minister made up with a coordinated negotiable package.

B. Key Contingencies of the President

President Roh performed a predominant role not just observing the Prime Minister and the ministers how to deal with the problems since he was sensitive to the

political context at that time. Specifically speaking, he was moderately sensitive in the sense that his policy goals were always stable while the specific means he employed were flexible and the political timing was so important to his party.

His core perspectives on labor relation and its economic impacts in and out of cargo transport business were consistent even though his situational positions in dealing with the logistics crisis were changed. Through out his presidential campaign, he argued there was power imbalance between the unions and the employers. So he committed his administration would act as a balancer. Refusing to compromise with the Federation ever since the second strike, he criticized the hard line leaders arguing that the strike without prior endeavors to compromise would not benefit the truckers as well as the overall economy. He also said irrational collective behavior would not help the government act as a balancer in long perspective.

President Roh, however, was highly sensitive to the evaluation of the media and the constituency. When the public opinions went against the Federation after the first strike, he changed his way of approaching the labor issues. One of the reasons why Roh changed his strategy dealing with the strikes of the Federation and other union's strikes was that there was supposed to be the general election for the lawmakers on April of 2004. At first, he tried to compensate the labor class for their supporting him in presidential election of 2002. As he found that the majority of constituency did not support his weak position toward unlawful labor strikes, he took the other way. The election was very important to the President and his party under the situation that the ruling party had far less number of seats than the strongest rival party.

4. Value Complexity

A. Value Conflicts

The substantial value conflict in this case was presented between the 'economic efficiency' and the 'social equity'. This value conflict led the government to choose the crisis management strategy between the 'Principle and Law' and the 'Talks and Compromise'.

The strike of truckers meant a significant negative economic impact not just on the domestic production but also the national credibility on trade in the future. The Economists said the domestic production and the international investment would not be improved without constructive labor relationship.

Moreover, the Port Authority of Busan and the economists emphasized that the Port of Busan was degraded down to the fourth port from third after Hongkong, Singapore and recently charging Shanghai in terms of container treatment volume.

They also reported that major international maritime companies operating main office of the east asia in the Port of Busan were considering changing the offices to other countries. They attributed these movements to the strikes of the Federation.

On the other hand, the workers in Korea raised voice saying that the status of workers was rapidly being aggravated due to the government's efficiency-biased labor policy. They blamed the government and the employers claiming that the employers were trying to take benefits not by innovating the technology or reforming the corporate governance system but by switching the employees from regular workers to non-regular workers.

Youn Young-sam (March, 2003) revealed the facts by surveying the working and living conditions of the cargo truckers to the request of the Federation. He saw the cargo transport business as a exemple of non-regular employment abuse. He disclosed the facts that, "30.3% of the members had been the regular cargo truckers employed by the each of their cargo company before mass employment adjustment triggered by the Financial Crisis of 1997 and 50.9% of them bought a truck to be self-employed after they lost the jobs." He also said that, "The weekly working hours of the truckers is 80.7 hours which is 1.65 times more than the national average." He reported further that, "Their average monthly income is supprisingly negative 1.7 million won (\$1,500) if the depreciation value of the truck price was considered." He predicted this poor status of the truckers would go worse under the race to the bottem situation.

B. Coping with Value Conflicts

The Cabinet employed double maneuver during the first strike. Most of conservative opinion leaders, the economists and the political leaders asked the government to keep the 'Principle and Law'. They opposed the government to negotiate and mediate with the Federation defining the strikes as apparent unlawful collective behaviors. So, the Cabinet kept seeing the strikes as unlawful obstructionism of cargo transportation.

However the President, his aides and the Minister of Labor put equal weight on the 'Talks and Compromise' showing the sympathy on the Federation. Kwen Gi-hong, the Minister of Labor commented on his position right after the first strike that, "The strike was inevitable due to such a underdeveloped logistics system and a unreasonable transport business structure." And he said, "Because the Federation is

the weaker party under the current labor relation, the Cargo Companies and the Cargo Owners did reluctantly come to the mediation tables evading compromise.”

It is also said that Moon Jae-in, the Senior Presidential Secretary for Sivil Affairs also tried to deliver the opinions of the Federation to the President and government agencies while persuading the Federation to compromise with the government.

However, all the policymakers in the Cabinet and the Presidential Office (or Blue House) refused to compromise with the Federation in the second strike. They saw further concessions were not necessary and impossible for the government to keep the Korean economy viable.

C. Short-Term vs. Long-Term Interests

The procedural value conflict in the case was presented surrounding the short term solution and the long term solution. To solve the problems in cargo transfort business as well as to boost the Korean economy, the government needed more time to come up with a long term policy package.

41.9% of logistics experts showed dissatisfaction to the results of first strike. They argued that the solution simply increased the logistics cost of the Cargo Owners without modernizing the transport business and developing the logistics information network (Kim, Jin-hyek. September 2003).

Another criticism is ironical. The short term solution to solve unequal treatment of business permission was to enable each truckers to get permission as long as they own a truck. The Federation agreed on that at that time. However, now the Federation is criticizing the government arguing that it is trying to remove the labor

standing from the truckers, and further new permission policy will not be helpful in solving clonic 'overcompetition' in cargo transport business.

The bureaucrats also showed their concerns asking that, "What if collective activities of other interest groups come out? Should the government go to negotiate?" They said, "In the short term, it is understandable to negotiate with the Federation to defuse the situation as soon as possible, but in the long run, the government will confront with much more unreasonable challenges.

5. Leadership

On December 19 of 2002, Roh Moo-hyun won in the 16th presidential election. His successful campaign owed much to the support of the lower class and the young generation as well as the constituency in the south-west region. The supporters were attracted to Roh's clean and democratic leadership style as well as his policy focus on social equity.

Roh's political images were the reflections of his professional career and political trajectory. President Roh, born in 1946, was a court judge and later opened law office. He defended the pro-democracy politicians and the labor rights activists during the authoritarian governments. He was one of the leaders of the June Democratization of 1987. Later, Roh was elected to the National Assembly two times and served as a Minister of Maritime Affairs and Fisheries during the Kim Dae-jung Administration.

After inauguration, Roh appointed Goh Kun as the Prime Minister and promised that he would delegate many administrative authorities to Goh. Prime Minister Goh Kun, born in 1938, was life-long bureaucrat who served as a Minister of Transportation, Minister of Home Affairs, appointed Mayor of Seoul, Prime Minister

and elected Mayor of Seoul. The opposition parties also acknowledged Goh as a 'master of public administration' and gave him an approval to be a Prime Minister.

The role of Prime Minister in Korean presidential system depends on how deeply the President tries to be involved in the policy making. If the President wants to do everything, the Prime Minister is just a symbolic entity, at most, a scapegoat or a contingent position for the presidential vacancy. But if the President only concerns with the political matters and delegate administrative decision making authorities to the Prime Minister, the Prime Minister can do most of major policy making through controlling and coordinating the ministries.

President Roh appointed the economy-related ministers with former bureaucrats. But he recruited many progressive-minded scholars and social movement activists to implement his vision on the political and social reform. For instance, he appointed Kwon Gi-hong as the Minister of Labor. Kwon was a Professor who had the expertise in pro-labor European social policy. And he called Moon Jae-in who was a lawyer and human rights activist into the Blue House as the Senior Presidential Secretary for Civil Affairs.

The critics condemned Roh administration after the first strike claiming that Goh showed his strong will to apply the laws as it were to the truckers but Kwon and Moon implementing Roh's pro-labor policy insisted on compromising with the Federation.

The critics also criticized Moon for the fact that he joined in the negotiation with the Federation even though he had no official relation with the labor policy. The labor movement experts also thought that the unions were raising strikes in violation of the labor law expecting Roh's pro-labor measures and mediation.

However, as Roh lost his rationale for pro-labor policy due to the consecutive illegal walkouts, Kwen and Moon also turned their back from the Federation and other illegal strikes. Instead, Prime Minister Goh is now trying to keep balance by facilitating negotiation on the official channel and punishing destructive strikes.

6. Information Management

A. Failure in Initial Information Analysis

Strictly speaking, the information mismanagement of the government in this case did not mean there was no firsthand information available. The intelligence agents of the Police and the labor inspectors of the MOLAB could not have failed to follow up the daily schedule of the activities of the Federation aiming at labor strikes or grass-root movements. Instead, the problem was that no agency or no core position combined and analyzed the related information to make meaningful policy recommendation for the top policymakers.

Previously, the National Intelligence Service (NIS) was responsible for this mission and it had organizational resources to do the work. This time, the government could not expect the NIS to do that meaningful role.

President Roh admitted that there was not enough information to predict the events, to define the characteristics of the Federation, and to design a coordinated BATNA for the negotiation before the strikes came to reality.

In fact, after the first strike ended, the President ordered the Cabinet to devise a 'new information channel' for crisis management replacing the 'old tools'. The political experts interpreted his 'old tools' to be the NIS. It was commonly known secret that the government had been used the NIS in gathering and analyzing

intelligence concerning the labor unions' activities to predict and frustrate strikes which might threaten the national security in advance. Further, the NIS used to propose the President important recommendations which were pre-coordinated among the agencies without formal meeting. That role was possible because one of its missions was to coordinate inter-agency intelligence.

But under authoritarian administration, the NIS was abused by the presidents and ruling parties to suppress rival parties, labor unions and student organizations. Thus, President Roh had committed that he would not abuse this agency in the purpose of controlling the society or reinforcing his political power. Instead, he committed that he would reorganize the NIS so that it focuses its capacity on overseas intelligence activities and anti-spy activities.

Consequently, after his inauguration the NIS stopped monitoring the labor unions and coordinating inter-agency policy beyond its boundary. And when the unanticipated strikes broke out, the government faced an unfamiliar situation with little coordinated intelligence.

This situation, however, facilitated equal participations in the crisis management among the agencies involved and brought up a relatively feasible solutions and a emergency plan. And the agencies adjusted their positions to each other through several times of the cabinet meeting.

But the President was not too sensitive to reuse the NIS for the intelligence activities concerning the domestic politics. In June, as the President promised, the NIS abolished the organizational branches which could be abused to intervene in domestic politics.

B. Interaction with Media and Affected Stakeholders

The major media scarcely reported about the Federation and its activities until the first strike broke out although some local papers and specialized papers dealt with the pre-strike activities of the Federation and predicted a serious logistics crisis as the Federation warned of. The major media could have got enough information about the Federation and its future plan through the Internet websites of the Federation and the KCTU. However, they paid little attention. Thus, few people could know the existence of the Federation until May.

Once the strikes came out, the media poured out the news about the Federation. At first, they criticized the government and the bureaucracy for the problems itself and the poor preparedness for the crisis. Then, they showed sympathy to the truckers after they found some ground of strikes by analyzing the transport business and the logistics system.

However, their attitude turned into cold again through the second strikes. The government used the media to get the government's messages out. The government eagerly made up with the information about the illegitimacy of the strikes, its negative economic impacts, and ongoing unlawful obstructionism of a part of the truckers. The media reported the message and the data given by the government in daily basis. The Federation criticized the media saying that the media was reporting only the government's data without comparing the Federation's opinions. The Federation further argued that the Cargo Owners bribed the media. As the media made the Federation a common enemy of Korean economy with other unlawful labor movements, the public turned their back from the truckers.

The Cargo Companies and the Cargo Owners tuned up with the government. They gave the government exact number of how many truckers returned to work and how much economic loss was expected. Their cooperation helped the government get supports of the public for the stern measures against the Federation.

7. Cooperation and Coordination

A. Need for Coordination

As the Federation raised various issues for negotiation and mediation, an efficient interagency cooperation and coordination was necessary. In addition to that, the involvement of more agencies was needed for securing the ports and implementing emergency plans. <Table 1> summarizes the responsibilities according to the agencies involved. And the charts in <Exhibit 1> and <Exhibit 2> show the organization chart of the Office of the President and the Executive Branch respectively.

<Table 1> the Responsibilities of the Agencies during the Strikes of KCWF

Categories	Agencies	Responsibilities
Coordination	Presidential Office	Coordination between Top Leadership and Ministries
	Prime Ministerial Office	Administrative Coordination
Negotiation	MOCT(Railroad)	Improvement on business permission system
		Cracking down on multilevel brokerage system
		Nighttime discount for expressway toll
		Additional construction of truck-only service area
		Establishment of Logistics Modernization Committee
	MOLAB	Standing of Labor rights
		Eligibility of Workers Compensation Insurance
	MOFE(Tax Office)	Tax exemption on overtime income
		Diesel tax cut
	MOJ(Prosecutor)	Improvement on punishing practice on over-shipping

Mediation	MOCT	Container transport fees
	MOCIE	BCT and General Freight transport fees
Situation Control	MOCT(Railroad)	Railroad transportation expansion
	MOCIE	Collecting information on economic impact
	MOJ(Prosecutor)	Legal judgment on the Federation and the activities
	MOGAHA(Police)	Public space control/non-unionized trucker protection
	MOND(Army)	Trucks and drivers assistance
	MOMAF	Port control/sea transportation expansion
	Local Governments	Situation report and emergency plan implementation

Until early stage of the first strike, no agency tried to take over the burden of solving the problem. As the President ordered the Cabinet to respond proactively, the Prime Minister directed the Cabinet Meeting and adopted the responding direction of the 'Principles and Laws'. By the nature of the crisis, the central responsibility went to the MOCT which was enforcing the Cargo Truck Transportation Business Act. And it could not refuse to take the task.

Once the logistics disaster came into reality causing huge amount of economic loss, the ministries co-operated relatively well each other by the Prime Minister's coordination in the Cabinet Meeting. The Cabinet successfully and quickly came up with a package for the negotiations and adjusted to each other as the negotiation proceeded. And the Cabinet tried to control the situation and implement the emergency transportation plan. The ineffectiveness of the emergency plan, which I mentioned before, resulted from lack of resources rather than lack of coordination.

B. Initial Failure in Coordination

Since the top coordination responsibility is on the President, most of criticism for the coordination issues was focused on the poor coordination capacity of the Office of the President. The critics argued that there was few reliable communication

channels between the Presidential Office and the agencies. They also criticized the presidential aides for their lack of expertise to coordinate inter-agency issues (the Chosun daily. May 21).

Previously, most of the secretariats were recruited from the officials in the ministries and they were charged of the communication with their home ministries. In new administration, most of the secretariats were former pro-democracy activists or scholars who had little prior administrative experience. The bureaucrats complained that the secretariats were requiring the ministries to report regarding major policy issues but they did not touch the agendas in which multiple agencies' were involved.

The secretaries excused their positions. Firstly, they claimed that it passed just several months after Roh administration was launched and there needed time to set up all channels and adopt necessary knowledge to operate the government smoothly. Secondly, they argued, as was similar case to the NIS, the President did not want the Presidential Office, especially 'the Secretary Office of Information and Policy Monitoring', to monopolize the information, which was enabling small number of secretaries to control over the ministries. So, they said they wanted the ministries to cooperate through the inter-agency talks without intervention of the Presidential Office.

In conclusion, it is not clear how much vertical intervention is appropriate. However, it is obvious that there was no issue proposal to the Cabinet for deliberation about this case before the crisis broke out. That is why the President is asking for the Cabinet to come up with a reliable and effective crisis management system that can catch symptoms of crisis and designate appropriate divisions to draw up and enforce anti-crisis measures.

8. Sequencing and Synchronicity

The response of the government to the strikes of KCWF cannot be understood without considering overall labor movements in 2003 and the changes of the government's strategies.

The number of cases of labor strikes was not decreased even after Roh administration, so called 'pro-labor and participatory government', was established. The social issues requiring compromise between the labors, the employers and the government were waiting for the new administration's modulation.

Meanwhile, the mega-strikes of KCWF and the Railroad employees, which were substitutable routes of the land transportation, broke out in turn. The government should have resolved the two strikes while inducing the representative labor groups to stay in formal policy tables.

Initially, Roh administration intervened proactively to mediate the strikes in large-scale workplace. It paid off in early cases, such as the standoff of Doosan Heavy industry from January through March and the strike of the National Rail-road Authority Union against privatization in April. The President and the Minister of Labor evaluated these interventions were quite successful. So, they declared the government would play an active role in resolving labor conflicts constructively while they would discipline to employ riot police to contain labor strikes.

Facing the first strike of the Federation, the President and most of the ministers thought the peaceful talks would resolve the crisis. Eventually, the Federation and the government reached an agreement. Even though many critics argued the government gave the Federation too much than necessary, the President and the

Prime Minister thought the agreement was acceptable and the 'Talks and Compromise' strategy was right decision.

However, while the mediations for raising transport fees were undergoing, another mega strike was raised unlawfully by the National Rail-road Authority Union on June 28. Further, both umbrella trade unions, the Korean Confederation of Trade Union (KCTU, hard-liner) and the Federation of Korean Trade Union (FKTU, soft-liner) were about to set the nation-wide general strikes as a summer labor strife in conjunction with the wage negotiations of 2003. In this situation, the KCWF refused to cooperate with the government in providing supplemental land transportation instead of the rail-road.

Given the worst circumstance, the government realized 'the Talks and Compromise' had serious limitedness in dealing with simultaneous labor strikes. Further, the media, the foreign investors, and the rival parties were criticizing the government's lukewarm actions against unlawful strikes.

On June, the government resumed to mobilize riot police to contain the unlawful strikes. All policymakers refused to have talks with the unions which had no legitimacy. The rail-road union submitted to the government in 3-days. The government disciplined 211 people involving discharge of 58 people and gave written warning to more than 8,000 people (KCTU, October 2003).

On the extension of response to the Rail-road union, the government took definitive actions toward the Federation on second strike of August. The government arrested 36 members involving key leaders. The Federation also gave in to the government.

Roh administration's labor policy change, however, was followed by harsh criticism from the labor unions. And this conflicting relation made the government difficult to modulate other social issues such as the Five-day Workweek Policy, the National Pension Reform, the Non-Regular Labor Policy and the New Labor Relation Road-mapping.

9. Lessons Identified and Lessons Learned

A. Lessons Identified

The strikes of the cargo truckers were unprecedented situations. It was not easy to find analogical crisis in Korean history. Instead, three foreign transportation and logistics crises were identified and discussed.

Firstly, the experts evaluated the French government's dealing with transportation sector unions to be a failure case. France is notorious for the incessant strikes of the National Railroad Union as well as truckers' unions since 1990s. In the background of the problems, the experts said that public opinion of France had been so generous to the strikes that the government always compromised with unlawful strikes.

The strike of truckers' union in December of 1996 was a good example. They occupied main national roads, expressways and 8,000 gas stations out of 18,000. By that, the truckers could get special bonus and other benefits. The most frequent strikes in transport sector made the France less developed in logistics industry in Europe.

Secondly, Ronald Reagan's handling with the strike of the Professional Air Traffic Controllers Organization (PATCO) of the Federal Aviation Authority (FAA) was deemed to be a good model.

In August 1981, Ronald Reagan took an uncompromising stand against striking air-traffic controllers who threatened to shut down the nation's airlines. The striking workers complained of growing demands and dangerous levels of stress on the job. Their issues centered on wages, retirement benefits and working hours. Reagan announced that the striking workers were in violation of the law. And he ordered them back to work in 48 hours. Seeing the incomppliance to his order, Reagan fired 11,500 controllers with little apparent remorse even though the PATCO supported him in his presidential election.

Thirdly, Bush administration's dealing with the Longshoremen Union of the Pacific Maritime Association (PMA) was also deemed to be a good example. The union closed the West Coast ports in late September of 2002 refusing the company's new technology which was likely to cause mass lay out.

President Bush ordered the union to return to work while giving the union and the company 80 days of cooling off period by the presidential authority under the Taft-Hartley Act (or Labor Management Relations Act). After that, federal mediators successfully led the parties to reach an agreement.

The key lessons from these cases were that the government should be uncompromising with the strikes in violation of law or threatening social security. These cases were discussed publicly after first strike. And the government kept hard position against the Federation during the second strike.

Further, the MOCT is trying to introduce the 'Compulsory Return to Work Order' policy similar policy to the Taft-Hartley Act giving the president a power to take steps to end a work stoppage if it threatens national health or security.

B. Lessons Learned

What the government was done in dealing with the pre-strike and the first strike phases was commonly considered closer to a failure. But the foci of analyses by the stakeholders were different even though they all questioned what the causes of the crisis were, how the government mismanaged the crisis, and what the future tasks were.

The government reviewed the crisis management system. It admitted that current system was not effective in gathering core information, sharing information among the agencies, coordinating the agencies involved in specific issues and mobilizing the personnel and equipments needed for implementing contingency plan. Most of all, there was no executive power enabling the government to compel specific interest groups to return to work even though their inaction could drive the national security in danger.

The Federation pointed out the need of negotiation and policy coordination channels. It criticized the government arguing that the various policies of independent agencies, aiming at different goals, targeted the truckers and gave multiplied disadvantages and unbearable hardship. It said, nevertheless, current system did not allow any effective policy coordination mechanisms and negotiation channels with other stakeholders to solve such problems in a lawful manner.

The Cargo Companies and Cargo Owners criticized that President Roh's leadership was not principle-based. They argued that the government should have kept neutral position and should not have tried to distort market mechanism.

The logistics experts urged the government to improve logistics system. They understood the crisis was mainly caused by institutional problems causing excessive

supply of the truck service and the poorly developed transportation business. So, they claimed that the stakeholders of this business should facilitate the Logistics Information Networks and the Cargo Companies should be reorganized to be efficient larger-scale firms. And they recommended that the government increase investment in the alternative transportation infrastructure, and the logistics facilities.

Conclusively, recognizing what the stakeholders and experts learned from the logistics crisis, the government had to reconsider traditional practices in managing crises caused by socio-economic conflict and had to guide current conflict to be peaceful by sustaining balanced labor policy and improving logistics industry.

AFTERMATH

1. Commitments and Retaliations

Through the talks during the strikes, the government, the Federation and other stakeholders made some commitments to the Federation as shown in <Table 2>. But some of the commitments were not implemented in the end. The unfinished agendas still remain unfinished.

<Table 2> the Agendas and the Commitments

Agendas	Commitments
Improvement on business permission system	Individual Registration from 2004
Cracking down on multilevel brokerage system	Definitive Regulation and punishment
Nighttime discount for expressway toll	2 hour extension for discount
Additional construction of truck-only service area	Additional construction by annual plan

Establishment of Logistics Modernization Committee	Agreed on establishment ASAP
Standing of Labor rights	Talks at Tripartite Commission
Eligibility of Workers Compensation Insurance	Giving Eligibility from 2004
Tax exemption on overtime income	Agreed on tax exemption
Fuel tax cut	Agreed on Fuel subsidy
Improvement on punishing practice on over-shipping	Discrete deliberation needed
Container cargo transport fees	Agreed on fees increase by 13%
BCT/General freight transport fees	Further negotiation needed

Meanwhile, the government arrested 36 truckers who violated laws and put them to trial. As warned during the second strike, the Cargo Companies and the Cargo Owners took legal actions against the truckers for financial losses in retaliation of the trucker's failure to carry transport liability. The Cargo Companies further cut business relations with more than 1,500 truckers who played a central role in the strikes and let them out of business until they can business by themselves under revision-expected individual registration system from 2004.

2. Implementation

The ex post measures of the government focused on three issues. One is to implement the agreements with the Federation. Another is to prevent recurrence of the strikes. The other is to invent a crisis management system in preparation for other like-crisis. So far, no issue is going on smoothly.

To keep the promises to the truckers, the government gave the incentives such as overtime income tax exemption, diesel subsidy, and expressway toll discount hour expansion. But the built-in agendas for further negotiations made little progress under the situation that most of business leaders and the media criticize the

government saying that it already paid a higher price for the settlement than necessary.

Consequently, the Federation claimed no significant changes have been made since all the negotiation and mediation channels were cut down again after the second strike finished with the Federation's defeat.

To prevent recurrence of the like-crisis, the government submitted a bill to the Assembly in order to revise the Cargo Truck Transportation Business Act. This bill is aiming at introducing the 'Individual Registration System' and the 'Compulsive Return to Work Order'. The former will enable each trucker to get a business permit as long as he/she owns more than one truck. The latter will enable the government to order the truckers in strikes to return to work immediately and unconditionally in case the impact of the strikes is likely to impair public interests.

It will not be easy for the government to push the plan into reality. There is unanticipated dilemma. Initially, the introduction of the 'Individual Registration Policy' was mutually agreed to at the end of first strike. Unexpectedly, however, the Federation and the Cargo Companies are opposing to this policy now.

Both parties argue that the individual registration policy will increase the degree of competition which is one of the main reasons of the strikes. Instead, the Federation is asking the 'Cargo Truck Drive Licensing Policy' limiting the number of truckers. And the Cargo Companies are asking the 'Business Licensing Policy' limiting the number of business permission. Both alternatives, however, are not consistent with the market mechanism.

Moreover, labor movement activists strongly criticize the government's intention of introducing the 'Compulsive Return to Work Order' maintaining that the

government is trying to force the truckers to carry the obligations without admitting any right that they deserve.

Another complicated task is to create an effective crisis management system. President Roh and his aides as well as the critics apparently share the view that the nation may undermine such a hardship unless an effective crisis management system is set up in response to the transportation crisis and the like-incidents.

It, however, seems not that simple to build up an effective response system encompassing every related government agencies. So far, the government just set the direction that the government will gather intelligence concerning the social conflicts through the National Police Agency and it will discuss the problems at the reinforced issue-specific cabinet meeting with quick horizontal and vertical coordination.

But in-depth discussion, there is still no answer for how the system should be designed because this issue involves sensitive issues regarding political and bureaucratic interests surrounding which agency get additional organizational resources, which key policymakers get the coordinating power and who can monopolize the intelligence.

3. Effects on Future Events

The logistics crisis was a demanding test to the Roh administration. Frankly speaking, the crisis gave Korean society an opportunity to think about increasing non-regular employment problem. And it made the government reexamine its coordination and crisis management system. Nevertheless, overall consequences of the strikes of the Federation gave more negative political and social effects.

Aside from the huge economic loss, the strikes of the Federation gave huge political trauma to the Roh administration. The government lost its credibility from people by failing to prevent the crisis and respond inconsistently in dealing with first and second strikes. The rival party, the 'Great National Party', mocked the Roh administration considering it as an amateur government.

The labor activists also disappointed to the new administration because they thought President Roh betrayed the labor class. President Roh also pointed out that he had been labeled pro-labor before he was elected, but now the unions call him a traitor. He asked the unions to change their militant style. Simultaneously, he asked the employers to refrain from demanding the government to suppress strikes with riot police for every situation.

Though the government solicited the labors and the employers to compromise with each other, aggravated relationship among three of them is leading Korean industrial peace at stake. The government expects this year to make a new record since 1990 in terms of strike cases raised, workers participated in and labor-days lost.

There is a vicious circle of recent labor movement. Increasing non-regular employment degrades the employees' economic and social status. The employees raise political strikes in collaboration with other workplaces. The employers ask the government to mobilize police power to contain the illegal strikes. The employers retaliate on the unions by firing the key leaders and requiring economic compensation. Finally, the unions raise another strike with bigger confederation.

This case is a good example of a vicious circle. The truckers severely condemned the Cargo Companies and the Cargo Owners for abusing retaliatory actions. The Federation is also trying to shape up the organizations to raise a strike in the future

so that they can frustrate the government not to legislate the 'Individual Registration Policy' and the 'Compulsive Return to Work Order'.

4. Reflections

Few people think that the government handled the crisis successfully. None of stakeholders tells they were satisfied with the results of the strikes. Then what if the policymakers involved in the case had took a different course or action? Would any of different decisions have led to one or more stakeholders satisfied?

It seems that there were no other politically feasible and administratively rational alternative once the first and second strike were raised by the Federation. The government, however, could prevent the strikes.

What if the government could get enough intelligence and responded early to the voice of the Federation in organized manner preventing the first strike?

The government could have given economic incentives and should have tried harder to crack down illegal multilevel brokerage practices of the Cargo Companies and the Brokerage Companies. The tax authority could have found other tax revenue sources instead of diesel tax increase. The Logistics Modernization Committee could have been established without significant interest conflicts among stakeholders.

These measures must have prevented or, at least, delayed the Federation's reliance to the last resort. And the government could have mapped out long term plan on logistics system through enough discussion and policy analysis. This option would have satisfied most of stakeholders except the broker companies.

What if the government had serious talks with the Federation before it raised the second strike?

After the first strike ended up with mutual agreement, the government evaluated the result as a second best. The Federation was also pleased to the government's commitments. Other stakeholders seemed they could not find any other rationale for criticizing the Federation.

However, the truckers became overconfident and they thought they could get more by raising another strikes. This atmosphere gave the other stakeholders good excuse for standing against the Federation refusing to compromise.

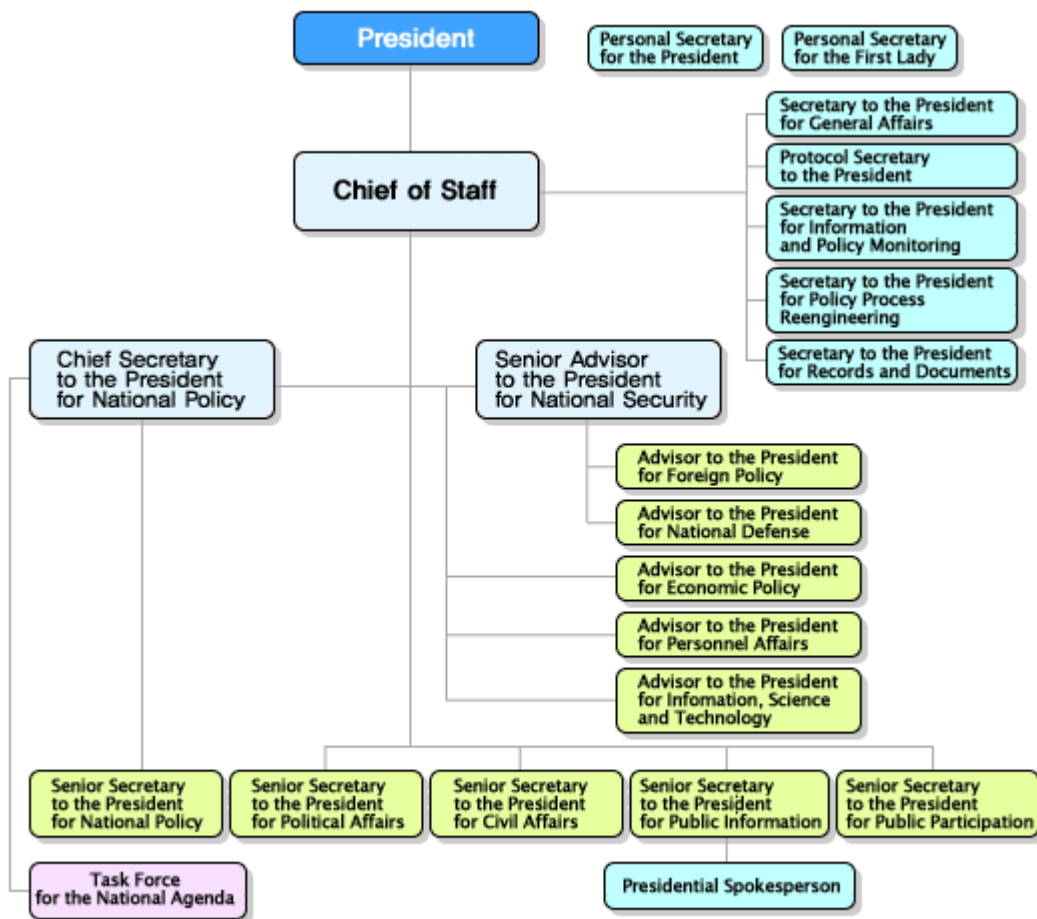
The government also sought for recurrence prevention measures understanding that most of truckers wanted another strikes. The policymakers, however, misjudged again. The leaders of the Federation admitted later that the result of vote asking whether to raise another strike or not was miscounted, which meant the pro-strike voting was highly exaggerated. This could happen because the Federation was not well organized and the voting was not legally required for due-process. Further, the leaders admitted that the second strike was unnecessary because transport fee negotiation in the BCT sector was too difficult to end in a limited time.

In conclusion, if the government judged the situation correctly and persuaded the Federation strongly with good reason and analysis, the Federation might not have raised the second strike which brought all the negative aftermaths.

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<Exhibit 1> Organization Chart of the Office of the President



<Exhibit 2> Organization Chart of the Executive Branch

